

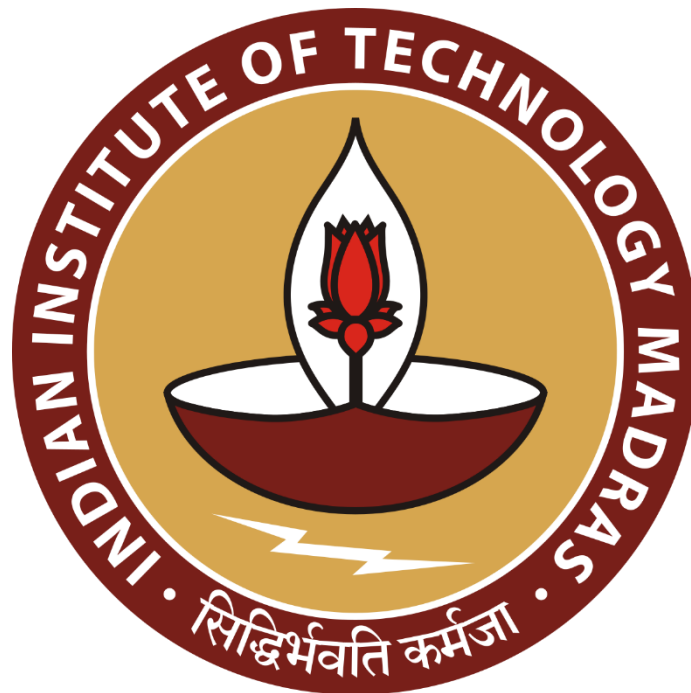
Enhancing Gym Profitability by Optimizing Member Retention & Acquisition

A Proposal report for the BDM capstone Project

Submitted by

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Declaration Statement

I am working on a Project titled **“Enhancing Gym Profitability by Optimizing Member Retention & Acquisition”**. I extend my appreciation to **F4 Fitness Gym**, for providing the necessary resources that enabled me to conduct my project.

I hereby assert that the data presented and assessed in this project report is genuine and precise to the utmost extent of my knowledge and capabilities. The data has been gathered from primary sources and carefully analyzed to assure its reliability.

Additionally, I affirm that all procedures employed for the purpose of data collection and analysis have been duly explained in this report. The outcomes and inferences derived from the data are an accurate depiction of the findings acquired through thorough analytical procedures.

I am dedicated to adhering to the principles of academic honesty and integrity, and I am receptive to any additional examination or validation of the data contained in this project report.

I understand that the execution of this project is intended for individual completion and is not to be undertaken collectively. I thus affirm that I am not engaged in any form of collaboration with other individuals, and that all the work undertaken has been solely conducted by me. In the event that plagiarism is detected in the report at any stage of the project's completion, I am fully aware and prepared to accept disciplinary measures imposed by the relevant authority.

I understand that all recommendations made in this project report are within the context of the academic project taken up towards course fulfillment in the BS Degree Program offered by IIT Madras. The institution does not endorse any of the claims or comments.

Signature of Candidate: Daksh

Name: Daksh

Date: 01/11/2024

1. Executive Summary

The Gym named F4 Fitness is located in Pochanpur Village, Sector-23 Dwarka, Delhi. It was established by Mr. Ajay Tomar in 2016. It is a local B2C gym and it provides fitness training services.

The major business issue that the organization is facing, is related to member retention & acquisition and it also has issue of overcrowding at specific time.

The Gym can implement marketing campaigns and proposals for individual membership plans to overcome these issues. Additionally, it can provide various services like specialized fitness programs or health initiatives to improve the experience of members and reduce the crowd.

The expected outcome helps the organization to address customer service & procurement issues, will prevent gym from overcrowding and will also help in competing with other fitness centers and attract a wide customer base.

2. Organization Background

The Gym named F4 Fitness is located in Pochanpur Village, Sector-23 Dwarka, Delhi. It was established by Mr. Ajay Tomar in 2016. It operates in the field of health and physical fitness. The gym has employed the team of four personal trainers for these services. A large amount of money (around 10 lakhs) was invested in starting the business. After three years the business started running smoothly and started making profits, but COVID-19 hit India and the lockdown that followed caused the business to face a drop in profits for two years. However, after two years and several hurdles, the business has started making progress and bringing its profits back to pre-pandemic levels. The gym members are nearby residents and from all sections of society. The owner has started collecting membership data and feedback from the members, which has played a vital role in scaling up its operations. This gym operates for twelve hours in two shifts (4 AM - 10 AM and 4 PM –10 PM) for six days per week, excluding Sundays and gazetted holidays with an annual turnover of approximately 10 lakh rupees.

3. Problem Statement

3.1 Addressing the challenges faced in retaining the existing members and acquiring new members.

3.2 The Gym is experiencing the problem of overcrowding at certain period of times.

4. Background of the Problem

Internal Problems:

1. There are insufficient number of equipment as compared to the number of members in the Gym. Due to this, members have to wait for a long time for their turn on a specific equipment. This issue is resulting for the business to face difficulties in membership retention and acquisition.
2. Lack of space is also a problem they are facing as it gets overcrowded in the evening and the members cannot do proper workout and they change the gym
3. The trainers in the gym are not very good, and the fees are slightly higher according to them. However, the trainers at nearby gyms are good and their fees are lower.

External Problems:

1. The location of this place is in the neighborhood and there is no parking space, that is why only people from nearby come here, as those coming from a little distance have to deal with the parking problem with their vehicles.
2. The gym has personal flats next to it, that is why we cannot expand the gym in any way, and as a result, the gym remains overcrowded.
3. New gyms opening regularly and online fitness programs offering convenient alternatives and Anytime Fitness which is a famous gym is also its nearby which attracts the members towards itself.

5. Problem Solving Approach

Different approaches that will be implemented to solve the problem based on data:

5.1. Data Collection

1. **Demographic Data:** The demographic of the members was collected such as age, gender, location, and membership type. This will help in determining that what kinds of population is attracted to the gym and what the probable ones left might be.
2. **Member Behavior Data:** Monitoring the usage patterns & behaviour of existing members. This monitoring includes tracking the usage of various equipment by the members, & recording that which are the most frequented equipment. Membership card check-in data was also be utilized in tracking.
3. **Overcrowding Data:** During peak hours, ascertain which areas in general and which equipment in particular are prone to the overcrowding. This may involve recording the manual data of the usage patterns.

5.2. The data has been cleaned and unnecessary things present in the data have been removed after collection.

5.3 Data analysis will be done using Google Spreadsheet functions.

1. **Overcrowding:** The forecasting of high demand of a particular equipment can be carried out by analyzing attendance data, which is likely to happen during certain periods of the

day. Scheduling the classes such a way that it does create overcrowding. This can affect staff and equipment availability to some extent.

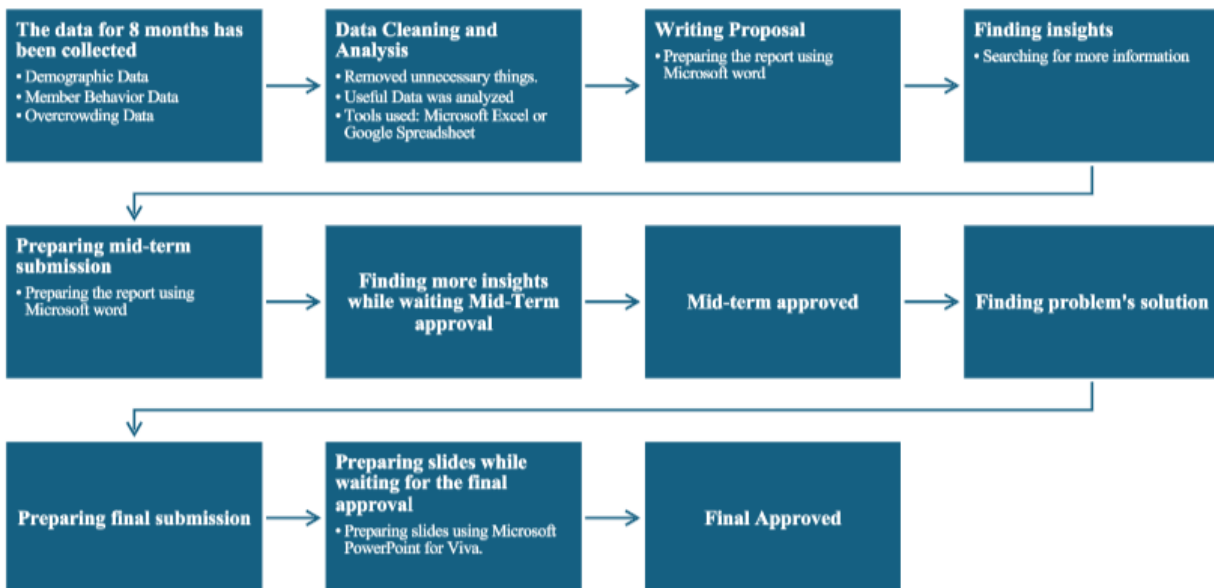
2. **Member Segmentation:** Divide members into various segments, such as high-volume versus low-volume users and by subdividing in to demographics, to come up with offers and targeted marketing. For example, offer loyalty programs for frequent users and promotions towards infrequent users.

5.4 A time period of 8 months will be identified during which the business earns maximum profit.

5.5 After analyzing all the data, a report will be prepared using Microsoft Word and suggestions will be given to increase the profit.

6. Expected Timeline

6.1 Work Breakdown Structure:



6.2 Gantt chart:

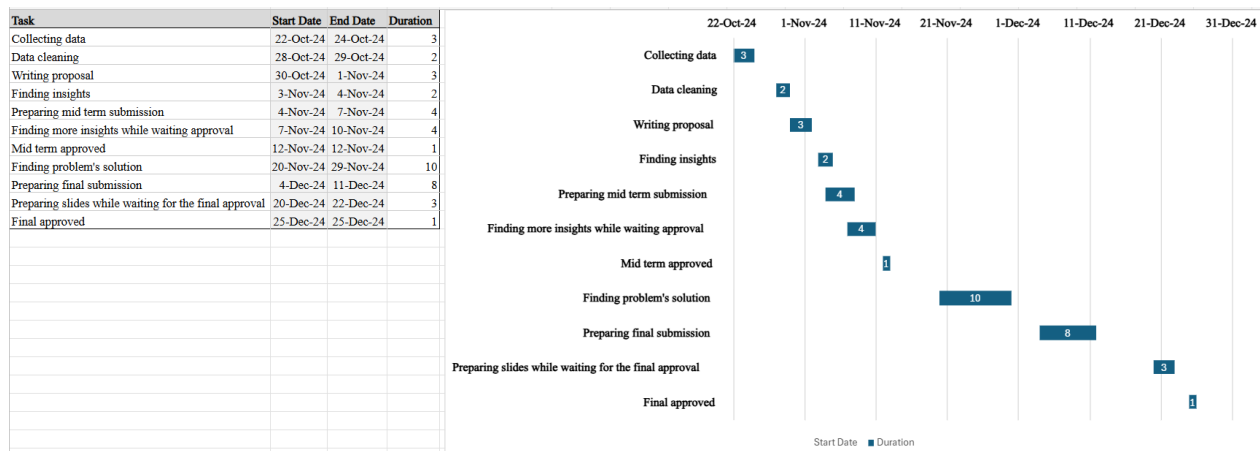


Figure 1: Expected timeline for completion of project

7. Expected Outcome

1. **Increase in Member Retention and Acquisition:** Through data & patterns analysis, by offering loyalty programs, targeted marketing campaigns and referral programs the gym will see increased membership.
2. **Enhanced profitability:** Better retention and acquisition rates will lead to a total turnover of 12-14 lakhs per annum.
3. **Reduced Overcrowding:** A better schedule needs to be established for the classes, which will result in equal distribution of member attendance across the day. It will be carried out by analyzing peak crowd timings and introducing incentives for off-peak times.
4. **Enhanced Member Engagement and Satisfaction:** The member engagement needs to be enhanced. A feedback mechanism needs to be established. Further, measured attendance and carrying out satisfaction surveys, can also improve overall member satisfaction.